

Question 1

Question ID: 1575067

Four years ago, a company issued a fully amortizing annual-pay bond with a maturity of six years. The appropriate balance sheet treatment of this security is to record the liability as:

A) current only.



B) non-current only.



C) part current and part non-current.



Explanation

Each payment for an amortizing security includes a portion that is a repayment of principal. That portion of the next annual payment will be recorded as a current liability (i.e., current portion of long-term debt), and the remaining principal amount will be recorded as a non-current liability. (Module 30.3, LOS 30.c)

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Question 2

Question ID: 1575068

On January 1, Orange Computers issued employee stock options for 400,000 shares. Options on 200,000 shares have an exercise price of \$18, and options on the other 200,000 shares have an exercise price of \$22. The year-end stock price was \$24, and the average stock price over the year was \$20. The change in the number of shares used to calculate diluted earnings per share for the year due to these options is *closest* to:

A) 20,000 shares.



B) 67,000 shares.



C) 100,000 shares.



Explanation

Based on the average stock price, only the options at 18 are in the money (and therefore dilutive). Using the treasury stock method, the average shares outstanding for calculating diluted EPS would increase by $[(20 - 18) / 20]200,000 = 20,000$ shares. (Module 30.4, LOS 30.d)

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Question 3

Question ID: 1575069

Goodwill is *most likely* to be:

A) amortized over its estimated useful life.



B) tested for impairment at least annually.



C) depreciated if certain criteria are met.



Explanation

Goodwill is not amortized; instead, it is tested for impairment at least annually, and more frequently when there is an indication that it may be impaired. An intangible asset with a *finite useful life* is amortized over its estimated useful life. Analogously, depreciation is the process of allocating a *tangible* asset's cost over the course of its useful life. (Module 31.1, LOS 31.b)

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Question 4

Question ID: 1575070

Picknicktisch Plc., a manufacturer of outdoor furniture, reported cost of goods sold for the year of €60 million. Inventory declined by €4 million, but total assets increased by €30 million. Accounts payable increased by €1 million, while total liabilities increased by €25 million. The amount that Picknicktisch paid to its suppliers during the year is *closest* to:

A) €55 million.



B) €57 million.



C) €63 million.



Explanation

Subtracting the decrease in inventory of €4 million from the cost of goods sold of €60 million gives us purchases from suppliers of $€60 - €4 = €56$ million. The increase in accounts payable of €1 million means that the company paid its suppliers $€56 - €1 = €55$ million in cash.

(Module 32.1, LOS 32.b)

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Question 5

Question ID: 1575071

An analyst wants to compare the cash flows of two United States companies, one that reports cash flow using the direct method and one that reports it using the indirect method. The analyst is *most likely* to:

A) convert the indirect statement to the direct method to compare the firms' cash expenditures.



B) adjust the reported CFO of the firm that reports under the direct method for depreciation and amortization expense.



C) increase CFI for any dividends reported as investing cash flows by the firm reporting cash flow by the direct method.



Explanation

By converting a cash flow statement to the direct method, an analyst can view cash expenses and receipts by category, which will facilitate a comparison of two firms' cash outlays and receipts. CFO is correct under either method and requires no adjustment. Neither dividends received nor dividends paid are classified as CFI under U.S. GAAP. (Module 32.3, LOS 32.c)

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Question 6

Question ID: 1575072

The *most appropriate* method of computing free cash flow to equity (FCFE) is:

A) $NI + NCC + \text{Int}(1 - \text{tax rate}) - \text{FCInv} - \text{WCInv}$.



B) $\text{CFO} + \text{Int}(1 - \text{tax rate}) - \text{FCInv}$.



C) $\text{CFO} - \text{FCInv} + \text{net borrowing}$.



Explanation

$\text{FCFE} = \text{CFO} - \text{FCInv} + \text{net borrowing}$. The other two expressions can be used to calculate free cash flow to the firm (FCFF). (Module 33.1, LOS 33.b)

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Question 7

Question ID: 1575073

In the notes to its financial statements, Gilbert Company discloses a €400,000 reversal of an earlier write-down of inventory values, which increases this inventory's carrying value to €2,000,000. It is *least likely* that:

A) the net realizable value of this inventory is €2,000,000.



B) a gain of €400,000 appears on the income statement.



C) the reasons for this reversal are also disclosed.



Explanation

From only the information given, we cannot conclude that the net realizable value of the inventory is €2,000,000. Inventory is carried at the lower of cost or net realizable value, and €2,000,000 may be the original cost of the inventory. Under IFRS a firm may reverse an inventory writedown and recognize a gain up to the amount of the previously recognized loss. Required disclosures related to inventories under IFRS include the amount of any reversal of previous write-downs and the circumstances that led to the reversal. (Module 34.3, LOS 34.c)

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Question 8

Question ID: 1575074

Considering financial reporting for research and development costs under IFRS, it would be *most accurate* to state that:

A) IFRS allows research costs to be capitalized.



B) IFRS requires research costs to be expensed.



C) IFRS requires development costs to be expensed.



Explanation

IFRS requires expensing research costs, but it allows development costs to be capitalized under certain conditions. (Module 35.1, LOS 35.a)

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Question 9

Question ID: 1575075

Kreditnehmer AG enters a contract with Darlehensgeber SE that requires Kreditnehmer to pay €2 million at the end of each of the next two years to Darlehensgeber for exclusive use of a specific machine over that time period. The present value of these payments is €3.6 million. At the end of the contract, Kreditnehmer will return the machine to Darlehensgeber, as the contract contains no purchase option. The machine could potentially be used in various applications by different kinds of customers. The remaining useful life of the machine is five years, and its fair value is currently €6 million. This contract should *most accurately* be categorized as:

A) a sales-type lease.



B) an operating lease.



C) a finance lease.



Explanation

This contract is a lease because a specific asset is identified, Kreditnehmer will exclusively use it, and Kreditnehmer will have the ability to direct its use. The contract is an operating lease because none of the five criteria of a financial lease is met. In particular, the present value of the lease payments is substantially less than the machine's fair value; $3.6 / 6.0 = 60\%$ ($< 90\%$). Because this lease does not meet any of the five criteria of a finance lease, it should be classified as an operating lease. (Module 36.1, LOS 36.a)

Related Material

Question 10

Question ID: 1575076

Under U.S. GAAP, the pension component *most likely* to be recognized on the income statement in the period that it is incurred is the:

A) past service costs.



B) actuarial gains and losses.



C) expected return on plan assets.



Explanation

Expected return on plan assets is one of the components recognized on the income statement in the period incurred. Past service costs are recognized in other *comprehensive income* in the period in which they arise. Actuarial gains and losses are usually also recognized in OCI in the period in which they occur. Note that U.S. GAAP also permits companies to immediately recognize actuarial gains and losses in profit and loss. (Module 36.2, LOS 36.b)

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Question 11

Question ID: 1575077

Graphics, Inc. has a deferred tax asset of \$4,000,000 on its books. As of December 31, it is probable that \$2,000,000 of the deferred tax asset's value will never be realized because of the uncertainty about future income. Under U.S. GAAP, Graphics, Inc. should:

A) reduce the deferred tax asset account by \$2,000,000.



B) establish a valuation allowance of \$2,000,000.



C) establish an offsetting deferred tax liability of \$2,000,000.



Explanation

If it becomes probable that a portion of a deferred tax asset will not be realized, a valuation allowance should be established. A valuation allowance serves to reduce the value of a deferred tax asset for the probability that it will not be realized (the difference between tax payable and income tax expense will not reverse in future periods). (Module 37.2, LOS 37.b)

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Question 12

Question ID: 1575078

When deferred tax liabilities are not expected to reverse, they should *most appropriately* be treated as:

A) equity.,



B) liabilities.



C) neither liabilities nor equity.



Explanation

If a deferred tax liability is not expected to reverse, then there is no expectation of a cash outflow (there will be no required tax payment in the future), and the "liability" should be treated as equity. Conversely, a deferred tax liability should be treated as debt if the liability is expected to reverse with subsequent tax payment. (Module 37.3, LOS 37.d)

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Question 13

Question ID: 1575079

Which of the following is *least likely* to result in low-quality financial statements?

A) Unsustainable cash flows.



B) Activities that manage earnings.



C) Conservative accounting choices.



Explanation

Even if earnings or cash flows are unsustainable (i.e., low quality), the firm's financial statements can still be high quality. Conservative accounting choices are considered to be biased compared to the ideal of neutral accounting choices. Earnings management is viewed as reducing the quality of a firm's financial statements. (Module 38.1, LOS 38.a)

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Question 14

Question ID: 1575080

If a firm's management wishes to use its discretion to increase operating cash flows, it is *most likely* to:

A) capitalize an expense.



B) decrease the allowance for uncollectible accounts.



C) change delivery terms from FOB destination to FOB shipping point.



Explanation

By capitalizing a purchase instead of recognizing it as an expense in the current period, a firm increases operating cash flow by classifying the cash outflow as CFI rather than CFO. Decreasing the allowance for uncollectible accounts or changing delivery terms for shipments from FOB destination to FOB shipping point would increase earnings but would not affect operating cash flows. (Module 38.2, LOS 38.g)

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Question 15

Question ID: 1575081

A decrease in a firm's inventory turnover ratio is *most likely* to result from:

A) a write-down of inventory.



B) goods in inventory becoming obsolete.



C) decreasing purchases in a period of stable sales.



Explanation

Obsolescence can cause goods in inventory to remain unsold, which tends to reduce the inventory turnover ratio ($\text{COGS} / \text{average inventory}$). Write-downs of inventory increase the inventory turnover ratio by decreasing the denominator. If purchases decrease while sales remain stable, inventory decreases, which increases the inventory turnover ratio. (Module 39.2, LOS 39.b)

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Question 16

Question ID: 1575082

Suppose that you wish to forecast future financial performance for a particular firm. You carry out an analysis to quantify what would happen if some economic event occurred, such as the loss of a supply source, a loss of customers, or some catastrophic event, by making a list of mutually exclusive and exhaustive events and assigning each probabilities. Then, you evaluate the range of outcomes, and calculate statistical measures such as the mean and median values for different key variables. The technique you are using is *most likely* to be categorized as:

A) sensitivity analysis.



B) scenario analysis.



C) simulation.



Explanation

The technique you are using would best be described as scenario analysis. Sensitivity analysis shows the range of possible outcomes as specific assumptions are changed. Simulation is a computer-generated analysis based on running multiple scenarios to determine expected outcomes.

(Module 39.5, LOS 39.f)

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Question 17

Question ID: 1575083

Suppose that you are forecasting the balance sheet items for a company you are modeling, and you use the firm's historical *sales to net working capital* ratio to forecast the company's working capital accounts. Your approach to forecasting the working capital accounts is *most likely* to be classified as a:

A) bottom-up approach.



B) hybrid approach.



C) top-down approach.



Explanation

By using the company's historical efficiency ratios to project future performance, you are using a bottom-up approach to forecast the firm's working capital accounts. (Module 40.1, LOS 40.a)

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Question 18

Question ID: 1575084

Suppose that our financial model for Wissenschaft AG estimates a terminal value using a valuation multiple based on the company's average price-to-earnings multiple (P/E) over the past three years. Suppose further that a technological development emerges that should affect Wissenschaft AG in a positive way, but that we expect this change will occur sometime beyond our financial forecast horizon. In terms of our terminal value calculation, our *most appropriate* response to this technological development would be to:

A) increase the required return.



B) make no change to the terminal value.



C) increase the price-to-earnings multiple.



Explanation

If a multiple is used to derive the terminal value of a company, the choice of the multiple should be consistent with the long-run expectations for growth and required return. If the future growth or profitability of a company we are modeling is likely to be higher than the historical average (in this case, due to a potential technological development), then the terminal value multiple used should reflect a premium to the historical multiple to reflect this increase in profitability or growth. (Module 40.1, LOS 40.e)

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